

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/facebook-results-investors-like-living-in-zuckerbergs-world-1461793800>

HEARD ON THE STREET

Follow

Facebook Results: Investors Like Living in Zuckerberg's World

Facebook's new class of shares is a reminder of Mark Zuckerberg's control, but company's strong results mean investors don't mind

By Miriam Gottfried

April 27, 2016 at 5:50 pm ET



Mark Zuckerberg maintains a unique control over Facebook. ERIC RISBERG/ASSOCIATED PRESS

Facebook may be a public company, but it is Mark Zuckerberg's public company. Investors got a fresh reminder of that Wednesday when the company released blowout first-quarter results that contrasted sharply with earnings disappointments from other tech giants, such as Apple.

The social network said it would create a new class of nonvoting stock that would allow Mr. Zuckerberg, Facebook's chief executive and founder, to sell shares without

diluting his majority voting control. The move comes after he and his wife announced a plan in December to give away 99% of their shares during their lives.

For public investors, the fact Mr. Zuckerberg will be a seller of Facebook shares could put some pressure on the stock over the long term. He has said he plans to sell or give away no more than \$1 billion of stock annually for the next three years.

Many investors awoke to the power Mr. Zuckerberg has over the company's direction when he decided to buy messaging service WhatsApp for what ended up being around \$21 billion in stock. On a call Wednesday to discuss his company's results, he argued the company's founder-controlled structure has helped it make big winning bets, such as its purchase of Instagram, and defend itself against takeover offers.

Indeed, the news isn't likely to faze investors for now, thanks to the strength of Facebook's results. Even after a robust fourth quarter, the company managed to beat analyst expectations.

It posted year-over-year revenue growth of 52% and earnings that nearly tripled. Facebook's monthly active users grew 15% to 1.65 billion, and average revenue per user climbed 33%, year over year to \$3.32. Shares jumped in after-hours trading.

With Facebook's business hurtling forward, investors may not even notice a share-class speed bump.

Write to Miriam Gottfried at Miriam.Gottfried@wsj.com

Appeared in the April 28, 2016, print edition as 'No Stopping Facebook's Ad Machine'.

Miriam Gottfried covers investing and wealth management for The Wall Street Journal's Personal Finance team in New York and is co-host of WSJ's "Take On the Week" podcast, a weekly show about money and investing. Her reporting focuses on how individuals build and maintain their wealth....

Follow



